

Digital Asset Security in the Quantum Era

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Preview

The advent of quantum computing will not undermine digital assets but will reorder the hierarchy of trust across the ecosystem. The transition to post-quantum security represents a strategic modernization of digital infrastructure, comparable in scale to Y2K remediation or the migration to IPv6, yet with deeper cryptographic and fiduciary consequences.

WHAT ARE THE RISKS?

All investments involve risk, including the loss of principal.

Digital assets are subject to risks relating to immature and rapidly developing technology, security vulnerabilities of this technology (such as theft, loss or destruction of cryptographic keys), conflicting intellectual property claims, credit risk of digital asset exchanges, regulatory uncertainty, high volatility in their value/price, unclear acceptance by users and global marketplaces, and manipulation or fraud. Portfolio managers, service providers to the portfolios and other market participants increasingly depend on complex information technology and communications systems to conduct business functions. These systems are subject to a number of different threats or risks that could adversely affect the portfolio and their investors, despite the efforts of the portfolio managers and service providers to adopt technologies, processes and practices intended to mitigate these risks and protect the security of their computer systems, software, networks and other technology assets, as well as the confidentiality, integrity and availability of information belonging to the portfolios and their investors.

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View more about Franklin Templeton Digital Assets and the strategies they manage.

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